

She asked me to get all my credit cards cancelled, some 8 years back. Since that day I have not carried a single credit card and, believe me I am much more relaxed and well off, not to mention that I am very much internet savvy and use my debit card for all online transactions and bill payments.

Life is much better and simpler with no credit card bills to pay at the beginning of each month.

In fact, getting rid of credit cards contributes immensely to your investment portfolio by stopping any leakage that may have been occurring from your nest egg even without your noticing it. Typically when you pay your credit card outstanding bills, the credit card company mentions the minimum amount that has to be paid. This minimum amount is calculated using a hefty interest rate, which is mostly never explicitly mentioned in the card statement. This interest that you keep paying to the credit card company is termed as "leakage".

Life is simpler, and yet as convenient with a debit card. Credit Cards should find no place in your wallet unless you are done with your financial freedom journey. Some people do argue about the advantages of credit cards like Reward Points, Impact on Credit Score, Emergency Needs, Insurance and a few others.

Remember that these lucrative points are good only for freedom seekers who are mature enough to constraint themselves against overspending. I would not advise a Credit Card unless you are done with more than 50% of your freedom journey. For most of the freedom seekers who are yet to start their journey or have not covered the majority of the journey, it is wise to avoid them.

Invest for cash flow instead of capital gains

Firstly, let's understand the two terms 'Cash Flow' and 'Capital Gains' very clearly. From our previous section, we know that a capital gain is an income derived from the sale of any investment or "capital asset". The capital